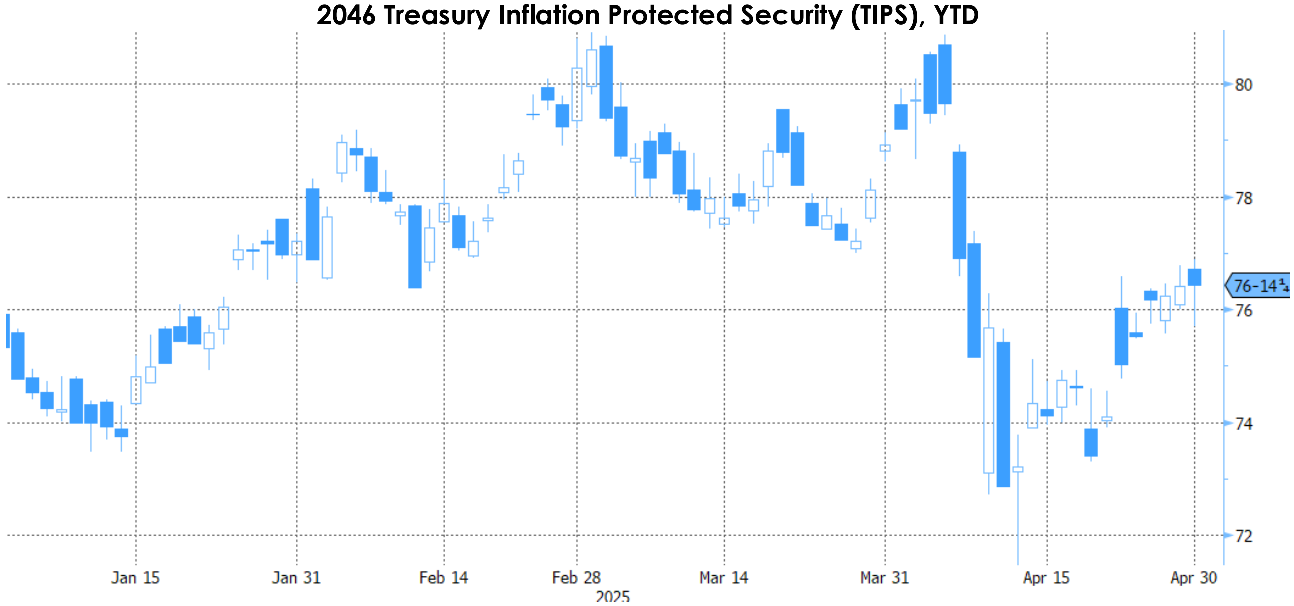
Commentary

The month of April was chaotic both in terms of the global market and our portfolio performance. While our loss of -3.84% was relatively modest, this month ended up delivering one of the highest levels of daily volatility in the history of this trading program, after March 2020 and March 2023.

We will not spend time covering the overall market backdrop of the volatility linked to the tariff uncertainty but will focus on the challenges we faced during the month.

The first thing to observe is that in the environment of a stock sell-off and recession fears, we would expect to make money on our duration positions. However, while we did make some money on the short end of the US curve, losses on long-dated TIPS were much greater. There is no economic reason for inflation-indexed bonds to underperform in the environment of either high inflation/slow growth or low inflation/slow growth (we've gone over that before). However, based on the history of March 2020, we shouldn't be too surprised by this underperformance.

2046 Treasury Inflation Protected Security (TIPS), YTD

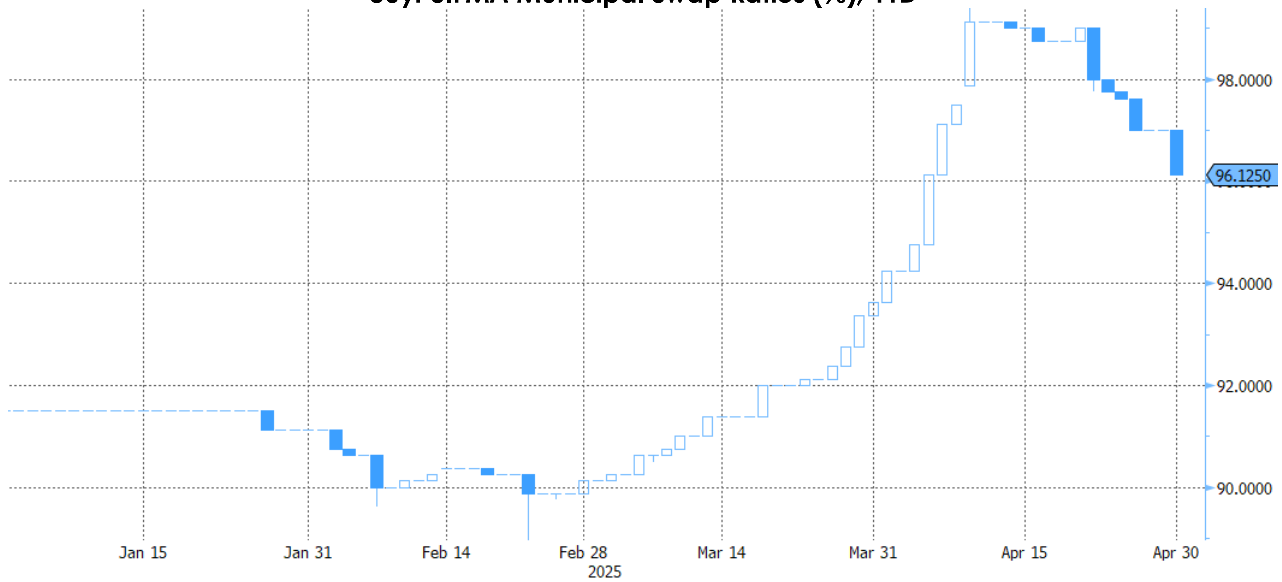


TIPs are illiquid and trade with hidden beta - that is, they tend to underperform in a crisis. This is the price of the "free lunch."

This brand of crisis was particularly detrimental for the long end of the US yield curve. Indeed, with the tariffs one would expect a lower current account deficit, which would in turn mean a lower financial and capital account surplus, i.e. lower foreign purchasing of US assets. This potential change in flows doesn't affect the terminal value of the bonds, but it changes the current clearing price of the asset.

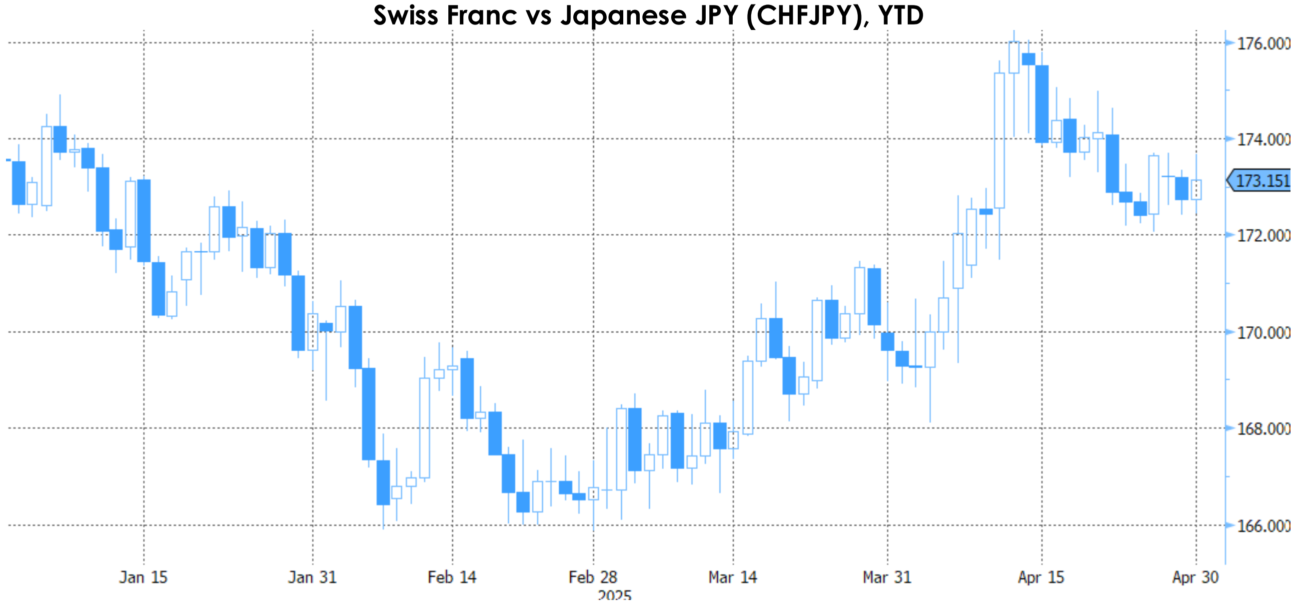
Another beta trade is muni swaps. Usually when long-dated rates go up, the muni percentages go down, but in this case, they spiked (albeit stabilizing somewhat by month end). This is also aligned with events of March 2020.

30yr SIFMA Municipal Swap Ratios (%), YTD



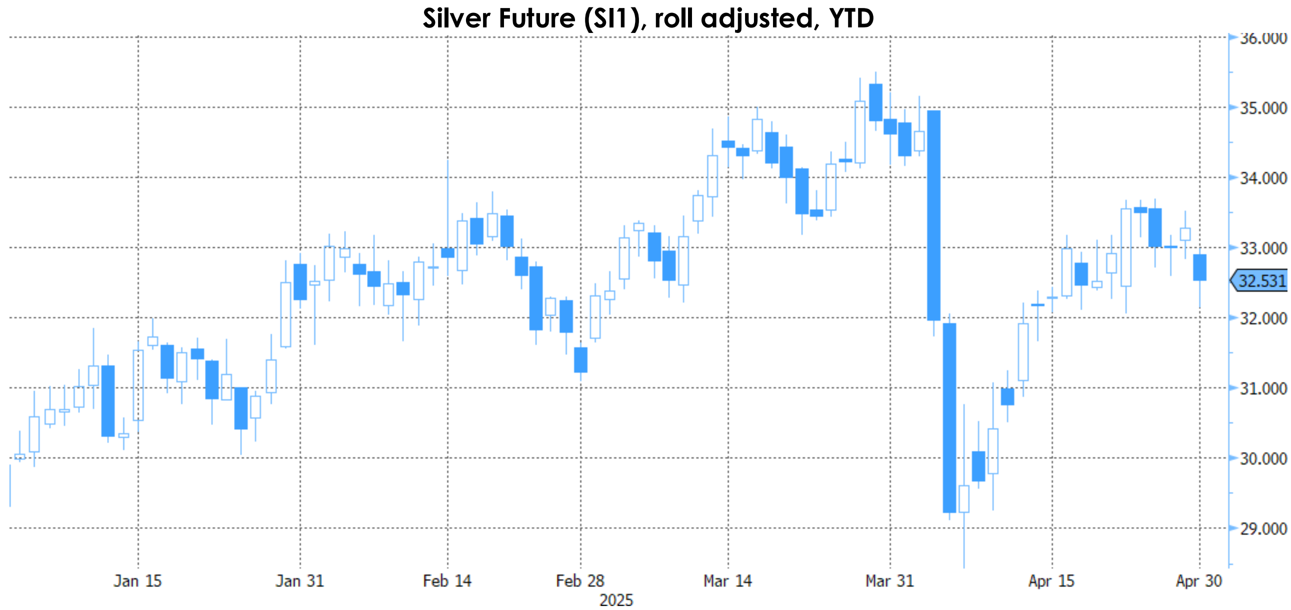
The US dollar weakness was also a surprise. One would expect the tariffs to support the dollar. Instead, the flight from US assets took precedence. The Euro performed strongly, pulling Swiss Franc up. CHFJPY, which is one of our large positions, moved significantly against us.

Swiss Franc vs Japanese JPY (CHFJPY), YTD

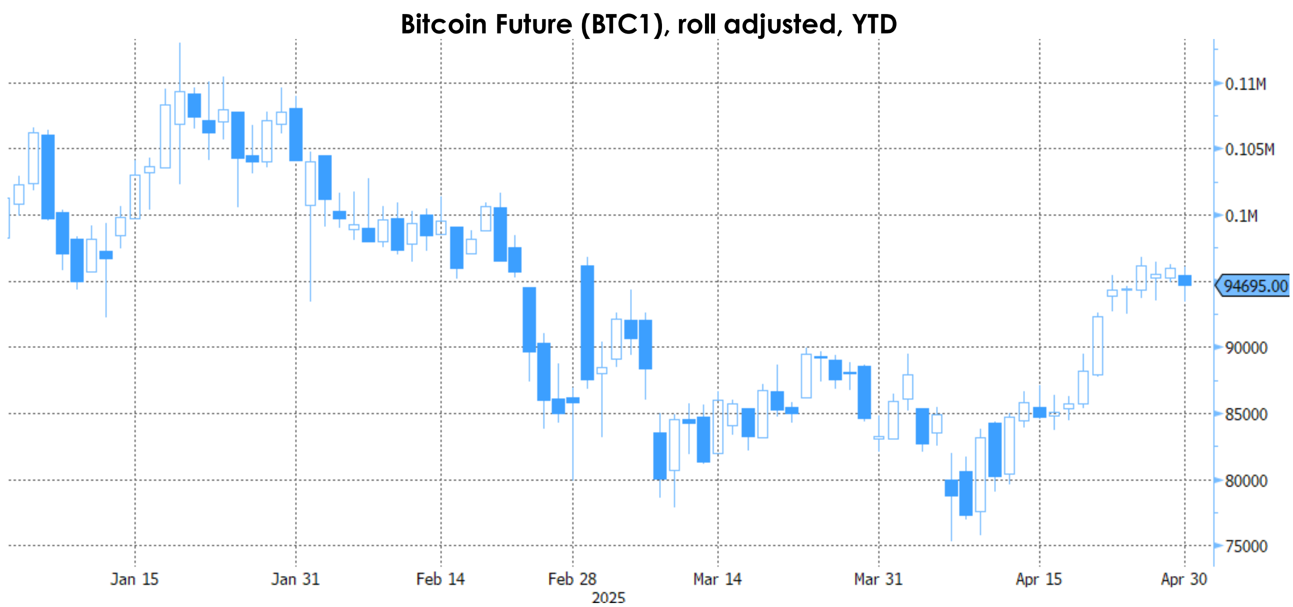


And while US tariff policy has been broad based, the primary target appears to be China so it's unsurprising that, after some intra-month volatility, the Chinese currency underperformed in April, cushioning our losses on foreign exchange positions.

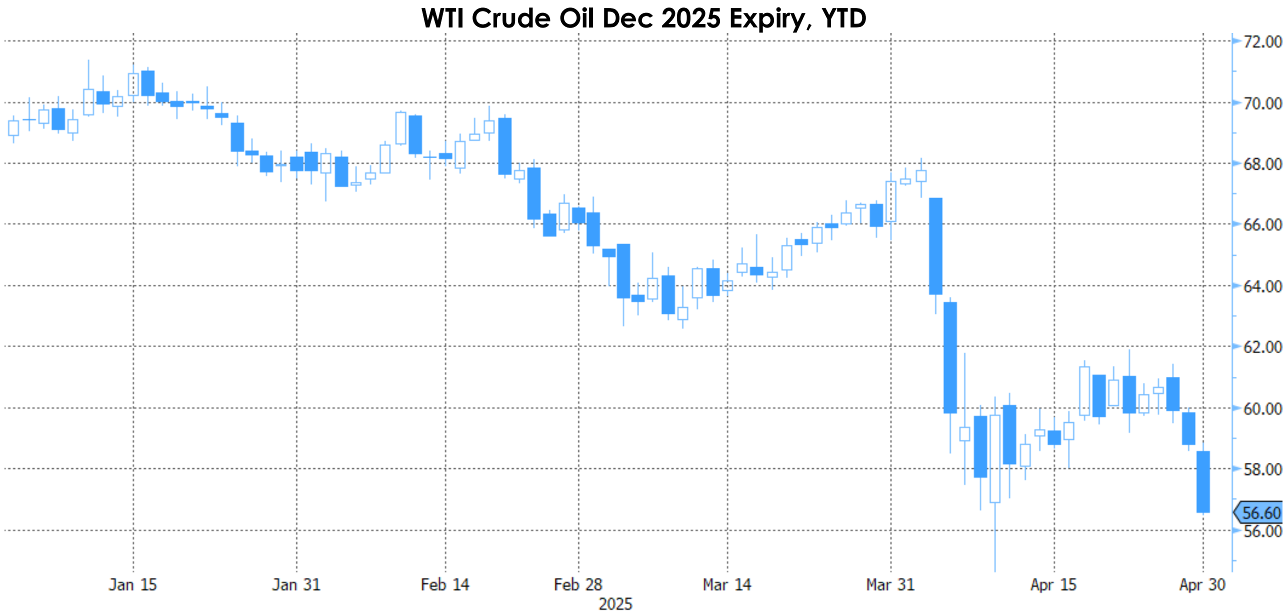
Precious metals gave up some of the gains from earlier in the year (also in line with March 2020!)



However, bitcoin was stronger:



Oil went down, and we were cushioned by the fact that as we mentioned in the last report, we reduced our exposure by 50%.



Overall, it is important to remember that each crisis tends to arise from a somewhat new and unpredictable direction. Much as we observe and learn from market history, we can never be fully prepared. Even when the portfolio has favorable positioning, as in 2020, navigating a crisis is not simple and surviving is the first priority.

As the dust settles (or does it?) we will not spend too much time forecasting or pinpointing new trades that are emerging: we are still in the process of researching and analyzing.

In general terms we believe that a deflationary slowdown is coming with or without the tariffs and rates will have to plummet. We also think the dollar has space to strengthen back, but hard assets are not done with their rally and central banks are likely to keep adding liquidity.

Good luck and stay healthy,